

STARTUP/VC DUE DILIGENCE CHECKLIST

This checklist is designed for the due diligence of an early-stage startup. It can be utilized by both investors conducting due diligence and startup founders preparing for it.

Also, in this checklist, we've assumed the startup is a corporation, a common scenario for most venture-backed startups (more on why [here](#)). You can easily apply this checklist for due diligence on an LLC, but remember that documents will have different names (e.g., certificate of formation vs. certificate of incorporation, operating agreement vs. bylaws, etc.), yet the underlying principles remain the same.

Lastly, this checklist isn't exhaustive; some details will vary depending on the company's size, industry, and unique circumstances. Let's get into it.

Pro-tips are from Kristina Subbotina, ex-Cooley startup lawyer and the Co-Founder and CEO of [Lexsy](#), a tech-enabled law firm for startups powered by AI to deliver legal services faster, more affordably, and with total peace of mind. For almost a decade, Kristina has represented thousands of innovative startups and top-tier VC funds, guiding them through every stage of their lifecycle—from formation to exits. If you want us to do the work for you and ensure you are prepared for investor due diligence, check out our [Startup Due Diligence Package](#) to learn more.

Documents to Review and Key Considerations

Step 1: Incorporation & Bylaws

Documents to Review:

- ☐ Charter (articles of incorporation);
- ☐ Bylaws;

- ☐ Action by the sole incorporator / minutes of incorporators' organizational meeting;
- ☐ Organizational board consent; and
- ☐ State qualifications, if any.

Key Considerations:

- ☐ Ensure the company has been properly set up. Check the charter, action / minutes of the meeting of incorporator(s), and initial board resolution(s).
- ☐ Confirm that the company is in good standing in both the state of registration and in the state of the principal office, should they differ from each other. Refer to the secretary of state website for verification (for California, see <https://www.sos.ca.gov/>; for Delaware - <https://sos.delaware.gov/>).
- ☐ The bylaws should provide for transfer restrictions and a right of first refusal for common stockholders.
 - Pro tips: preferred stock should be exempted from such restrictions. Also, review details, such as who has the authority to call stockholder meetings, and the procedures to hire or fire executives.
- ☐ Ensure that the director(s) have been properly elected.
 - Generally, for new companies, it is done in the action of the incorporator.
- ☐ The company should be qualified to conduct business in its primary state.
 - For instance, a Delaware corporation with its main office in CA should be registered as a foreign corporation with the California Secretary of State.

Step 2: Founders

Documents to Review:

- ☐ Stock purchase agreements;
- ☐ SAFEs / stock options / convertible instruments;
- ☐ Intellectual Property ("IP") assignment agreements; and
- ☐ Employment/consulting agreements.

Key Considerations:

- ☐ Stock should have been issued to founders around the time of incorporation.
- ☐ If the stock is subject to vesting, verify whether the 83(b) election with stamped copies returned by the IRS.
 - A 83(b) election is a letter a founder sends to the IRS electing to be taxed on their equity on the date it was granted to them rather than when it vests.
- ☐ Ensure that founder's stock is subject to vesting.
 - For early-stage companies, aim to have 2/3 of the stock subject to vesting.
 - If founder's stock has already vested, consider putting it on a revesting schedule.
- ☐ Check whether the founder's stock is subject to acceleration (i.e., founders will have their stock vested ahead of the scheduled vesting in certain instances).
 - Double-trigger acceleration means that the founder will vest their stock if the company is sold and the founder is terminated within a certain time limit.
 - Single-trigger acceleration means that only one condition (the company sale) is sufficient to trigger acceleration.
 - Double-trigger acceleration is standard in the market, but you might see a single-trigger as well.
- ☐ Ensure that the founders have transferred all IP relevant to the company.
 - Pro tip: review any excluded IP assets. Ideally, nothing should be excluded, but if something is, ensure that it's not pertinent to the company's current or future business.
- ☐ Ensure there are no excessive salaries. Review the founders' employment or consulting agreements to confirm that their salaries are reasonable.
 - Typically, for Silicon Valley founders of early-stage companies, I see salaries ranging between \$70k and \$200k, with the majority falling within the \$120k - \$150k range.

Step 3: Employees & Consultants

Documents to Review:

- ☐ Equity incentive plan (EIP) and stockholder and board consents approving it;
- ☐ Employee/ consulting agreements;
- ☐ IP assignment agreements; and
- ☐ Stock award agreements and board consents approving them.

Key Considerations:

- ☐ Make sure the EIP & all EIP increases (if any) have board and stockholder approvals.
- ☐ Ensure the EIP allows for a cash-out in the event of a change of control.
- ☐ The number of issued stock awards should not surpass the number reserved under the EIP.
- ☐ Ensure stock awards are issued at the fair market value as determined by the 409A valuation report.
 - This report should be obtained annually and following any significant event, such as a funding round.
- ☐ Review the vesting schedules of the service providers.
 - Watch out for any accelerations.
- ☐ Examine employment / consulting agreements for any unusual salary terms.
- ☐ Check for any promised equity that has not been granted yet.
 - Pro tip: those promised but not issued equity awards should go into pre-money, meaning the new investors do not get diluted by them.
- ☐ **83(b) Elections.**
 - Ensure employees who have received restricted stock or have early-exercised stock options (where shares are subject to vesting) have filed timely 83(b) elections with the IRS—within 30 days of the grant or exercise date. Missing or late 83(b) filings can result in unfavorable tax consequences (e.g., ordinary income at vesting).
 - The company should maintain copies of all filed elections (investors will request them during each due diligence process!).

- If any elections are missing or late, document this for risk assessment and determine whether those shares should be subject to income tax at vesting.

Step 4: Cap table & Pro forma

Cap Table (Capitalization Table): This is a detailed spreadsheet or table that displays the equity capital structure of a startup. It lists all the company's securities, including stocks, warrants, options, and convertible securities, and indicates their ownership.

Pro Forma Cap Table: This shows how the cap table will appear after financing. It will illustrate the percentage of ownership, equity dilution, and value of equity in each investment round, reflecting the total ownership and individual stakes of founders, investors, and other shareholders.

- ☐ Cap table. Do a cap table tie out, meaning all stock agreements (common and preferred), warrants, convertibles, side letters, etc. should be included in the pro forma. Ensure that all the underlying stock documents are in the data room, the board consents and the cap table map out.
 - Watch out for warrants granted to creditors (e.g., WTI) - they should be added to the cap table.
- ☐ Pro forma. Check the investor's post-financing ownership percentage; it should map out to the term sheet.
 - If the financing triggers the conversion of any instruments into shares of the company's stock, check what series of shares will be issued upon conversion, as well as the price per share and number of shares.

Step 5: Board & Stockholder Consents

- ☐ Confirm that all the officers have been appointed by the board.
- ☐ If any existing security holders have preemptive rights, obtain waivers.
- ☐ Make sure all the previous rounds of financing have been duly approved.

Step 6: Litigation & Regulatory

- ☐ Confirm the company has no pending or threatened lawsuits.
 - If any exist, ask for their current status, the company's strategy to address them, and the potential financial exposure.
- ☐ Verify whether the company has secured all necessary regulatory approvals to conduct its business.
 - Confirm no missing or expired permits, licenses, or approvals.
- ☐ Confirm compliance with data protection or privacy regulations.

Step 7: Securities Laws Compliance

Ensure that Form D and state filings have been made. For California, ensure that:

- ☐ 25102(o) filings have been made if the company has an equity incentive plan; and
- ☐ 25102(f) filings have been made for stock issuances to CA residents outside of the plan.

Step 8: Intellectual Property

Documents to Review:

- ☐ Trademarks, patents, and copyrights;
- ☐ Cease-and-desist letters, correspondence with the USPTO;
- ☐ IP assignment agreements with service providers; and
- ☐ Schedule of open-source software.

Key Considerations:

- ☐ Ensure the company has the rights to the IP it uses. Be vigilant for missing or expired patents, trademarks, or copyrights.
 - Check the USPTO website (<https://www.uspto.gov/>) to ensure the trademarks are registered and live. If the registration is pending, inquire about its status and ask if any challenges are anticipated.

- ☐ Confirm there are no current or potential IP infringements or disputes. If there are, determine the status, the company's strategy, and any financial exposure.
- ☐ Review a schedule of open-source software used and open-source licenses used.
 - Sometimes restrictive licenses have adverse obligations on the company's code that, e.g., require the company's code to be open-source as well.
- ☐ Ensure the founders, all employees, and consultants have executed IP assignment agreements. THIS IS CRUCIAL!
 - Pro tip: the IP assignment should include everything the founder contributed (e.g., avoiding the issue where a CIIAA assigns all IP worked on at the company, but not any relevant IP created pre-formation)

Step 9: Contracts

Key Considerations:

- ☐ Review all agreements in the data room. If numerous, prioritize those with a significant monetary threshold or those critical to the business.
 - Watch out for unfavorable terms or conditions, such as exclusivity, non-solicitation or restrictions on termination for convenience.
- ☐ Ensure to review all agreements providing for the indemnification of any person by the company.
- ☐ Review insurance agreements.

Step 10: Business Plans & Financials

Key Considerations:

- ☐ Review the current amount of outstanding debt.
 - Even if the financials are provided, it's helpful to know the company's health as of today.

- ☐ Take a quick look at the company's financials (typically beyond the scope of legal review).
 - If there's a negative net income, could you explain why operational expenses exceed revenues and if there were any unexpected costs?
- ☐ Has the company settled all its tax obligations? Are there any disputes or issues with tax authorities?
- ☐ In the business plan, emphasize whether the company intends to acquire any assets, particularly intellectual property (IP).
 - For example, if the company does not have sufficient rights to its name and plans to acquire a trademark or is considering rebranding, this should be highlighted for the lead investor.

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